INDUSTRY TREND ANALYSIS

China's AI stack localizes under constraint

Emerging signal · Evidence current to 27 August 2026

The signal

Policy boundaries, domestic compute, memory, advanced packaging, and delivery capacity increasingly behave as one strategic system.

92% to 34%	46% CAGR	RMB 4.56 trillion
forecast reduction in China's supply-demand gap for logic chips at 7 nm and below between 2025 and 2035, cited from Goldman research in the Daily Brief. [1]	forecast growth in China's advanced-process wafer supply from 2025 to 2035, reaching 410,000 wafers per month. [1]	forecast 2030 total addressable market for AI chips in China cited in the same Daily Brief; inference was estimated at about 70%. [1]

What is changing - and why it matters

China's AI stack is being shaped by constraint: domestic compute, advanced packaging, memory, model efficiency, cloud delivery and policy are increasingly interdependent. The short TMT Daily window shows fast activity, but it is not long enough to prove a durable industry outcome. The current signal is therefore localization under pressure, with economics and scale still to be tested.

Executive implication

China's AI stack is being shaped by constraint: domestic compute, advanced packaging, memory, model efficiency, cloud delivery and policy are increasingly interdependent. The short TMT Daily window shows fast activity, but it is not long enough to prove a durable industry outcome. The current signal is therefore localization under pressure, with economics and scale still to be tested.

Action agenda

- Map dependencies across chips, memory, packaging, software and cloud delivery.
- Design products for multiple compute stacks and export-control scenarios.
- Separate policy-driven capacity announcements from verified utilization and customer economics.

What could change the view

- Domestic supply scales in volume but not in yield, energy efficiency or software compatibility.
- Restrictions broaden or interoperability costs rise materially.

Selected evidence

[1] Weekly Brief · 2026-08-26 · AI□□□Agent□□□□□□□□□□□□□□□□□□

[2] Weekly Brief · 2026-08-27 · □□□□□□□□□□□□□□AI□□□□□□□□□□□□

[3] Weekly Brief · 2026-08-17 · □□□□AI□□□□□□□□□□□□□□□□□□□□□□□

[4] Weekly Brief · 2026-08-13 · AI□□□□□□□□□□□□□□□□□□□□□

[5] Weekly Brief · 2026-08-11 · AI□□□□□□□□□□□□□□□□□□□□

[6] Weekly Brief · 2026-08-10 · AI□□□□□□□□□□□□□□□□□□□□

[7] Authoritative research · OECD · 2024-11-19 · OECD Digital Economy Outlook 2024 (Volume 2): Strengthening Connectivity, Innovation and Trust

[8] Authoritative research · ITU · 2025-11-27 · Global Connectivity Report 2025

[9] Authoritative research · WTO · 2025-12-15 · Global Value Chain Development Report 2025: Rewiring GVCs in a Changing Global Economy

This independent analysis connects the available Weekly Brief archive with selected authoritative research. Forecasts and company-reported figures are identified in context. The complete evidence list remains available on the website.